

↓ FOUR POINTERS FOR ANYONE WITH DEBT

Before we plunge into the nitty-gritty details of credit cards, student loans, and auto loans, there are four basic principles you should know:

- **If you have savings, use it to pay off your high-rate debt.**

In most cases, the best investment you can possibly make is to pay off your credit card debts and car loans. This is because the interest rates on such debt are higher than the rates you can expect to receive from almost any investment. Paying off a loan with a 14% interest rate, for instance, is in effect paying yourself 14% interest, guaranteed and *tax-free*. That's a deal even Wall Street big shots would be thrilled to get.

A lot of people worry that by paying off their debt, they're wasting their savings. But when it comes to high-rate debt, nothing could be further from the truth. To better understand this, consider the following situation. You have a \$1,000 loan for which you pay an annual interest rate of 14%. You also have \$1,000 in the bank—earning interest at a rate of 3%. If you keep the \$1,000 in the bank for a year, you'll earn \$30 in interest on it while paying \$140 in interest on the loan, ending up with a \$110 loss. With me so far?

But if you take that money out of the savings account and pay off the loan immediately, you'll earn no interest but you will also pay no interest. Clearly, it's better to break even than to pay \$110 in interest.

- **Transfer debt from high-interest-rate loans to lower-rate loans.** The process of transferring debt from high-rate loans to lower-rate loans is known as **refinancing**. Obviously it's better to pay 8% to borrow money than it is to pay 18%. So if you currently have credit card debt that you can't pay off right away, apply for a low-rate card that allows you to transfer your current debt to it. (All this will be explained in the section on credit cards later in this chapter.)